one of the lowest risk investment avenues, as it is backed by the government, so is as safe as PPF.

The 12% of your basic salary that flows into the EPF every month alone has the potential to make you a millionaire and contribute majorly towards your financial freedom corpus.

This may sound unbelievable, as the investment seems too small and the interest rate offered does not seem too high. But do not forget that a matching contribution comes from your employer every month. In fact, EPF happens to be the most ignored and yet the most powerful tool in your hand. Do not underestimate the power of compounding and what it can do to your retirement savings in the long-term. The 8.5% to 9.5% interest earned on the EPF can help a person with a basic salary of Rs 25,000 a month accumulate a gargantuan ₹1.65 crores in 35 years.

In fact, the EPF can single-handedly account for the debt portion allocation of your financial portfolio. You may still need a few FDs / RDs from a liquidity perspective.

However, few people are able to reach even the ₹1 crore milestone in their careers. EPF rules allow encashment of the accumulated corpus when a person leaves a job and it is not uncommon for people to withdraw their PF at that stage. I did it myself as I hopped jobs. I thought of this withdrawal as bonus money for my hard work in the job and I thought I could now make full use of the money without realizing the fact that I had just taken it out from one of the safest and best rewarding investment tools. I never realized the harm that I was doing to myself with this withdrawal. I was not financially wise at that stage and I never had the good fortune of reading books on financial freedom till that time.

This is despite the fact that the government discourages you from withdrawing the money. The withdrawals from the EPF within five years of joining a job are taxable. The tax will be minimal if the person is jobless and has no significant income from other sources but you will not completely escape the tax net. When you withdraw your EPF, you forego the power of compounding.